Copper Prices: An Excellent Economic Indicator

The price of copper always rises during an economic expansion, and a peak in its price almost always precedes an economic contraction. Figure 13-26 presents a 145-year history of the price of copper as it relates to expansions and contractions in the U.S. economy. The correlation is striking on the short term, but also on the long term. During the major bear market of 1864-1933, there were many recessions, while in the bull market that has been in force since then, there have been very few. Notice that even during its long bear market, copper's few advances came during economic expansions.

The performance of this indicator has remained true in recent years. From its high in February 1980 at $129.16, copper fell sharply, and the recessions of 1980/1982 followed. From the mid-1980s low, copper ran to a new high, and in February 1989, *The Elliott Wave Theorist* noted, "Copper in recent months has been in a spectacular advance typical of all its prior pre-recession/depression spikes. The current spike is also occurring when it is possible to count five waves up from 1933." Copper fell sharply again, and, though with more time lag than usual, the recession of 1990-1991 followed. Figure 13-26 depicts that recession as being brief, but the discussion earlier in this chapter reveals that copper was actually a more accurate indication of the continuing economic hardship as it trended lower into January 1992. From that low, copper has been moving upward again.

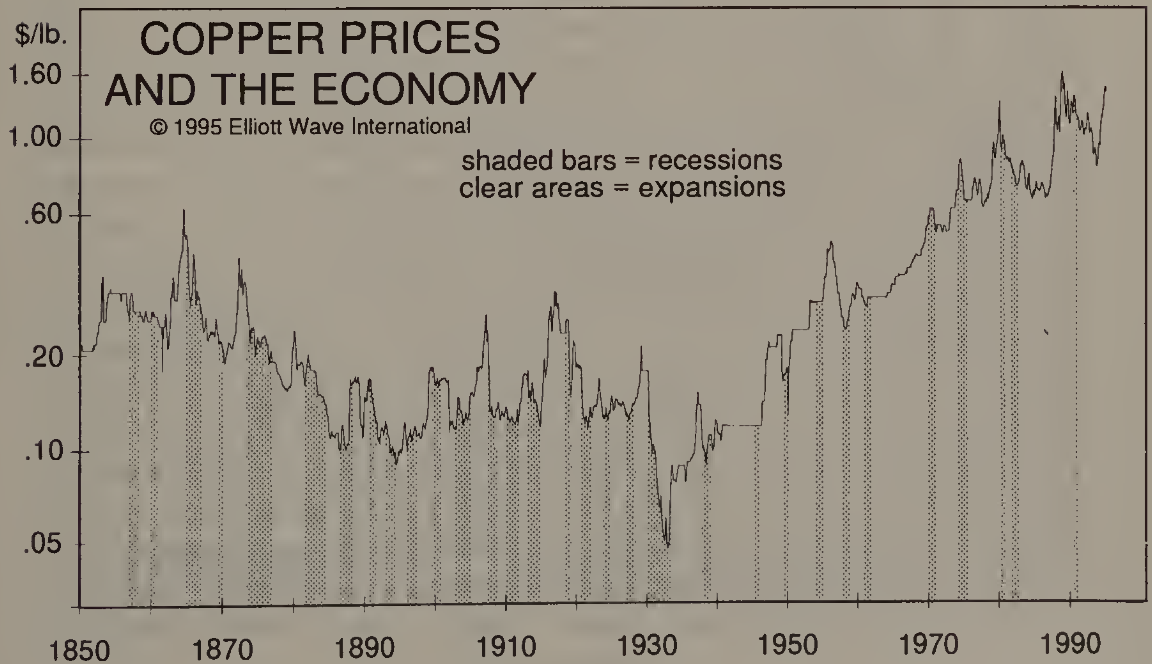

Figure 13-26